BERNSTEIN
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Japan Quant & Fundamental Tech Strategy

Japan Tech Strategy 4Q26: Intra-sector rotation likely to continue...Don't chase momentum...Focus on QARP & value


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Till mid-Oct, Japan tech sector has been very strong, up 32% on equal-weighted and 75% on cap-weighted basis, ie. dominated by large-caps. In this report, we collaborate with our fundamental analysts to present opportunities from here.

Top-down view: The sector looks attractive on an earnings multiple, trading at 16.5x fwd. PE ie. -0.9SD below 10yr avg but trading at a record high revenue multiple of 2.7x PS and at 100% premium to the market vs. 58% average. The strong earnings upgrade cycle remains a key support, though expectations now look extreme, raising concerns of a potential peak. After sharp out-performance by Semis, Factory Automation and Electronic Equipment in 1H26, 3Q saw a clear rotation with laggards such as Software, IT Services, Entertainment, Hardware outperforming while 1H winners came under pressure. We believe the case for selective intra-sector rotation remains intact, with recovering valuations and earnings support for 1H laggards. We recommend adding more exposure towards sub-sectors where relative earnings recovery is or likely to play out ie. Entertainment/Software/Hardware while reducing exposure towards 1H winners ie. Electronic Equipment/Semis/Factory Automation which are showing peak in revenue multiple and peak in relative earnings upgrades. IT Services is showing support from valuation upcycle, but earnings still remain weak on relative basis. Factor-wise, 3Q has seen the opposite trends to 1H26, with QARP/high yield/value outperforming while Momentum/Growth lagging. While factor valuations are reasonable across growth, momentum, value and quality; we see extreme earnings expectations for growth/momentum/quality. Relative to market, growth/momentum and quality are already showing peak upgrades which we believe is likely to keep them under pressure this quarter. However, QARP still shows room for upward revisions to continue and Value/high yield are now seeing the worst downgrades seen in the last 15yrs relative to market, and we believe taking a contrarian stance at these levels makes sense. Hence, we recommend tilting focus towards quality tech names which are reasonably priced (QARP) along with value/high yield tech names. **We show our updated screens in Exhibit 21-Exhibit 22.**

Japan Semis: The sector has recently corrected after a small rally, especially for those who benefit from AI narrative. The AI demand drives up capex expectations on memory and advanced logic, and benefits both front and backend equipment names alike. We prefer equipment names given the secular capex cycle for DRAM, advanced logic, and China capex. **TEL**, **Kokusai (Outperform) and Screen (Market-Perform)** are also expected to benefit from price hikes and margin expansion. **DISCO** and **Advantest** will benefit from the structural trend towards more advanced packaging, and **Lasertec (Outperform)** can see strong growth as the high-speed variant Actis A200 sees more usage at wafer fabs. Within non-equipment, we like **Ibiden (Outperform)** and **Hoya (Outperform)** remain backed by solid fundamentals, with Ibiden supported by CPU demand amid an ABF supply-demand shortage over 2027-28, and Hoya by strong EUV blank and HDD substrate demand, alongside growing focus on future pricing upside. **Renesas (Outperform)** as we are constructive on power semis given the rise of AI power demand, although most price-hike benefits are unlikely to materialize before early 2027. **[continued]...**

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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...[continued]

SoftBank (Outperform) is another beneficiary of the CPU upcycle through its ownership of Arm. **Sumco (Market-Perform)** is mainly geared to potential price hikes, but we expect no pricing upside until 2028, as the company is unlikely to renegotiate its LTAs before end-2027.

Japan Video Gaming: We remain constructive on the sector, though after two months of strong performance it wouldn't surprise us if a period of digestion took hold before investors focus on FY3/28E earnings. Within the sector we continue to prefer the publishers with clear 2027 new launch pipeline and growth visibility. Capcom remains the gold standard for execution; meanwhile Konami at 20x FY+1 PE feels like an actionable opportunity, with the company pointing to September as the trough post World Cup.

Japan Factory Automation: While China has seen peak growth rate in the sector, global factory automation (FA) demand growth continues to accelerate, driven by U.S., Japan, and Europe with strengths in broad-based end verticals. We expect peak growth rate in early 2027. Our top picks are Keyence and SMC, which are trading below historical average valuation. Following the 1Q FY3/27 results, Street expectations on the two names have increased but remain conservative relative to our estimates for the fiscal year.

BERNSTEIN TICKER TABLE

			19 Oct 2026		TTM	Reported EPS				Reported P/E (x)	
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
6954.JP (Fanuc)	O	JPY	5,946.00	7,200.00	(2.8)%	JPY	157.31	178.47	221.78	37.8	33.3	26.8
6273.JP (SMC)	O	JPY	66,440	89,000	(1.0)%	JPY	2,640.86	3,671.13	3,655.58	25.2	18.1	18.2
6861.JP (Keyence)	O	JPY	81,410	95,000	4.1%	JPY	1,835.62	2,420.47	2,675.94	44.4	33.6	30.4
6324.JP (HDSI)	O	JPY	5,300.00	7,800.00	37.4%	JPY	16.99	57.37	79.51	311.9	92.4	66.7
6857.JP (Advantest)	O	JPY	34,450	45,800	68.5%	JPY	513.30	948.96	1,088.87	67.1	36.3	31.6
6146.JP (DISCO)	O	JPY	53,360	99,000	(28.8)%	JPY	1,245.79	1,830.28	2,336.94	42.8	29.2	22.8
6920.JP (Lasertec)	O	JPY	39,590	54,000	53.9%	JPY	863.65	1,185.31	1,348.53	45.8	33.4	29.4
8035.JP (Tokyo Electron)	O	JPY	10,350	79,300	36.5%	JPY	1,250.88	1,687.17	2,635.81	8.3	6.1	3.9
6525.JP (Kokusai)	O	JPY	7,703.00	12,420	28.5%	JPY	128.63	262.29	373.69	59.9	29.4	20.6
7735.JP (Screen)	M	JPY	13,340	15,000	66.4%	JPY	486.61	574.49	759.55	27.4	23.2	17.6
SONY (Sony)	M	USD	24.88	23.00	(29.7)%	USD	1.06	1.40	1.34	23.5	17.8	18.6
6758.JP (Sony)	M	JPY	3,960.00	3,800.00	(38.7)%	JPY	171.30	226.71	217.12	23.1	17.5	18.2
6723.JP (Renesas)	O	JPY	3,017.00	6,300.00	29.1%	JPY	181.61	261.36	302.64	16.6	11.5	10.0
7741.JP (Hoya)	O	JPY	25,580	35,500	(15.0)%	JPY	744.42	829.63	977.78	34.4	30.8	26.2
4062.JP (Ibiden)	O	JPY	9,506.00	29,000	244.3%	JPY	214.91	329.25	511.84	44.2	28.9	18.6
3436.JP (SUMCO)	M	JPY	2,659.50	3,290.00	26.8%	JPY	(33.61)	(41.59)	64.43	(79.1)	(63.9)	41.3
9984.JP (SoftBank)	O	JPY	4,845.00	11,100	(50.7)%	JPY	872.47	204.81	161.94	5.6	23.7	29.9
9697.JP (Capcom)	O	JPY	4,554.00	4,900.00	(19.1)%	JPY	130.50	152.80	178.80	34.9	29.8	25.5
7974.JP (Nintendo)	O	JPY	8,541.00	10,300	(61.9)%	JPY	364.51	345.76	384.01	23.4	24.7	22.2
9766.JP (Konami)	O	JPY	24,835	28,200	(16.4)%	JPY	737.79	968.37	1,102.18	33.7	25.6	22.5
9684.JP (Square Enix)	O	JPY	3,004.00	3,600.00	(32.2)%	JPY	82.08	139.79	157.31	36.6	21.5	19.1
7832.JP (Bandai Namco)	M	JPY	6,270.00	6,000.00	2.9%	JPY	217.49	263.20	277.30	28.8	23.8	22.6
			--									
JPL			2,633.66									
SPX			7,659.44									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

6723.JP, 9984.JP estimate is Adjusted EPS; 6723.JP, 9984.JP valuation is Adjusted P/E (x); 6273.JP, 6861.JP, 6920.JP, 9697.JP, 7974.JP, 9766.JP, 9684.JP, 7832.JP base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Japan Factory Automation: Keyence Outperform with PT = ¥95,000; FANUC Outperform with PT = ¥7,200; Harmonic Drive Outperform with PT = ¥7,800; SMC Outperform with PT = ¥89,000;

Japan Semis: Kokusai: Outperform, PT=¥12,420; Tokyo Electron: Outperform, PT=¥79,300; DISCO: Outperform, PT= ¥99,000; Advantest: Outperform, PT=¥45,800; Screen: Market-Perform, PT=¥15,000; Lasertec: Outperform, PT=¥54,000; Renesas: Outperform, PT=¥6,300.00; Hoya: Outperform, PT=¥35,500; Ibiden: Outperform, PT=¥29,000; SoftBank: Outperform, PT = ¥11,100; SUMCO: Market-Perform, PT=¥3,290.00;

Japan Gaming: Sony Market-Perform, PT=¥3,800.00; Nintendo Outperform with PT=¥ 10300; Capcom Outperform with PT=¥ 4,600; Bandai Market-Perform with PT=¥ 4,700; Konami Outperform with PT=¥ 26,800; Square Enix Market-Perform with PT=¥ 2,550

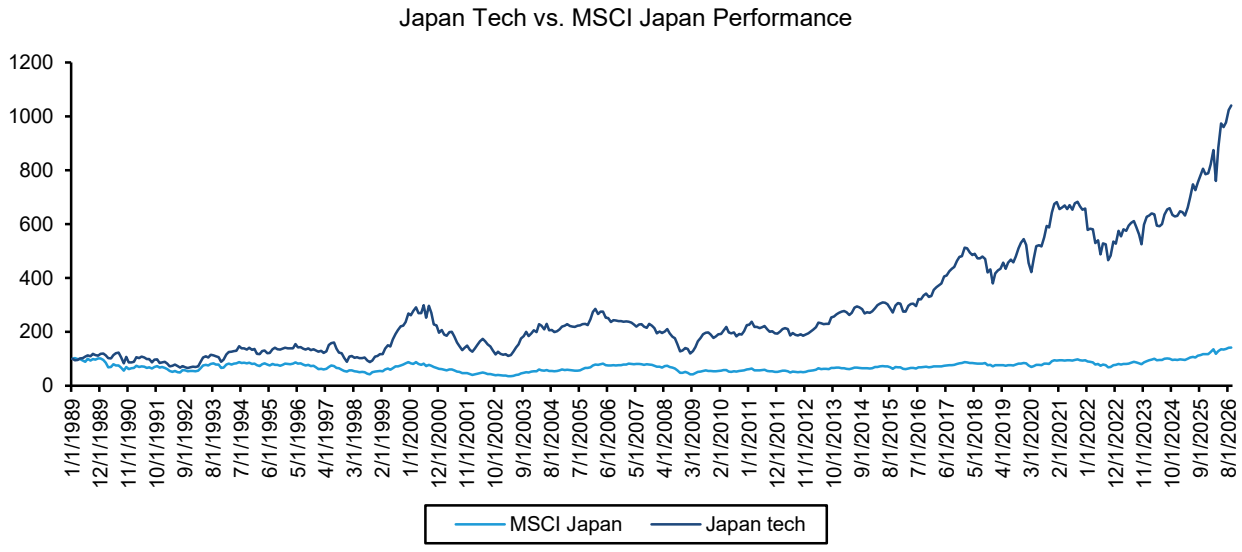
DETAILS

Some historical context-Over the long-term, the Japan tech sector has been a big source of alpha - since 1989 Japan tech has delivered 6.4% CAGR vs. 0.9% by the market (in dollar terms). The sector has done well even in recent times, generating 15% CAGR since COVID bottom compared to the broader market which has given 11% annualized returns. The historical consistency has been strong as the sector has generated positive returns in 8 out of the last 10yrs, with double-digit returns in 7 yrs. 2017 (+50%), 2019 (+52%) and 2020 (+46%) were outstanding years for Japan tech followed by 2025 at 45% while 2026 is turning out to be one of the strongest year. (Exhibit 1)

Japan tech sector has shown good momentum in 2026 so far and is up 32% on equal-weighted basis and 75% on cap-weighted basis vs. 21% for the market, ie. large-caps have continued to dominate. The divergence within the sector has been sharp - Semiconductors, Factory Automation and Electronic Equipment generated relative outperformance of 74%, 56% and 33% respectively in 1H26, while Software, IT Services and Entertainment lagged by -35%, -34% and -32%. However, 3Q has seen a clear reversal, with the earlier laggards Software (+26%), IT Services (+21%) and Entertainment (+19%) outperforming, alongside Tech Hardware (+14%). Meanwhile, Semis and Factory Automation both underperformed by -16%, while Electronic Equipment lagged by -5%. YTD, among the 10 largest names, KIOXIA (+180%) has led followed by Murata (+177%), Tokyo Electron (+48%) and Keyence (+47%), while Fujitsu, Hoya and Nintendo have been down 9%, 11% and 23% respectively. The first half of Oct, Software and IT services have been leading, both up 12%, followed by Entertainment (+6%) and Tech Hardware (+5%) while Semis has been down -5%. (Exhibit 2-Exhibit 4).

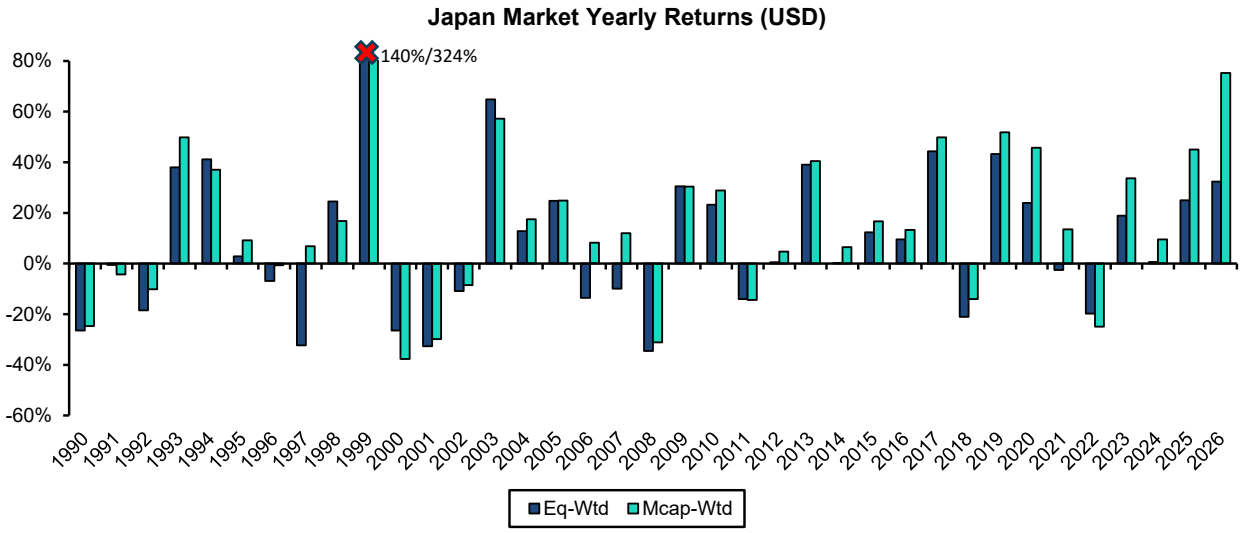
In this note, we join hands with our fundamental tech analysts in Japan to highlight the opportunities going forward. *We define Japan tech universe as the combination of stocks within Technology sector, stocks within Entertainment industry as well as stocks within Factory Automation Equipment sub-industry.*

EXHIBIT 1: **Japan tech sector has been a big source of alpha over the long-term. Since 1989, the sector has generated 6.4%CAGR vs. 0.9% by the market. Since 2010, tech sector has delivered 10%CAGR vs. 5% by market**



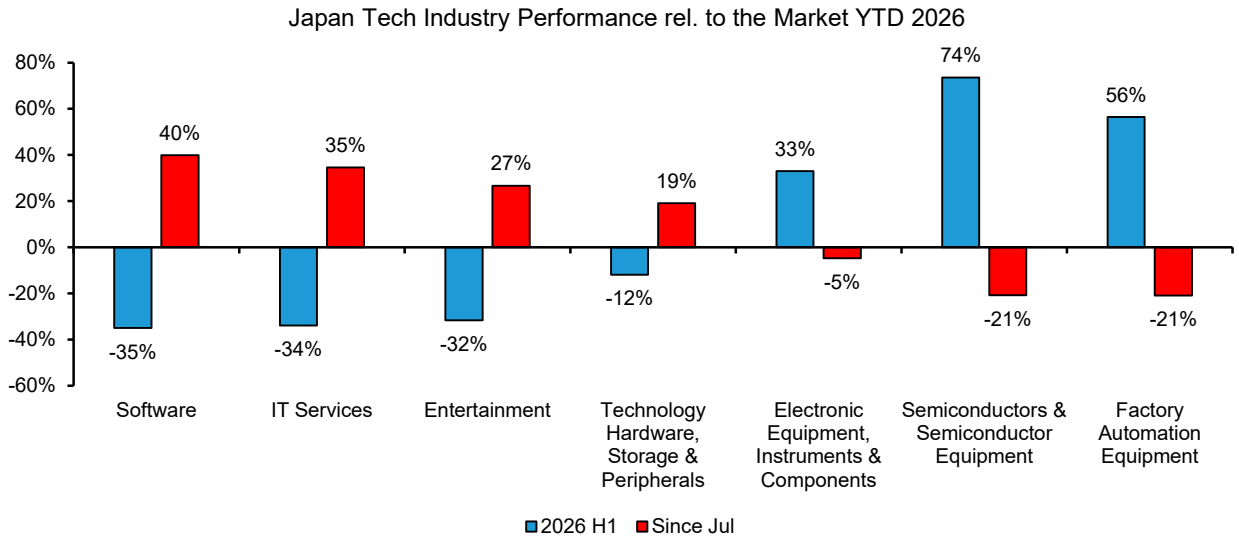
Returns are in USD. Data till Sep 30th 2026
Source: Bloomberg, MSCI, FactSet, Bernstein analysis

EXHIBIT 2: **YTD, the sector was up +32% on equal-weighted basis and +75% on cap-weighted basis vs. the market, up +18%**



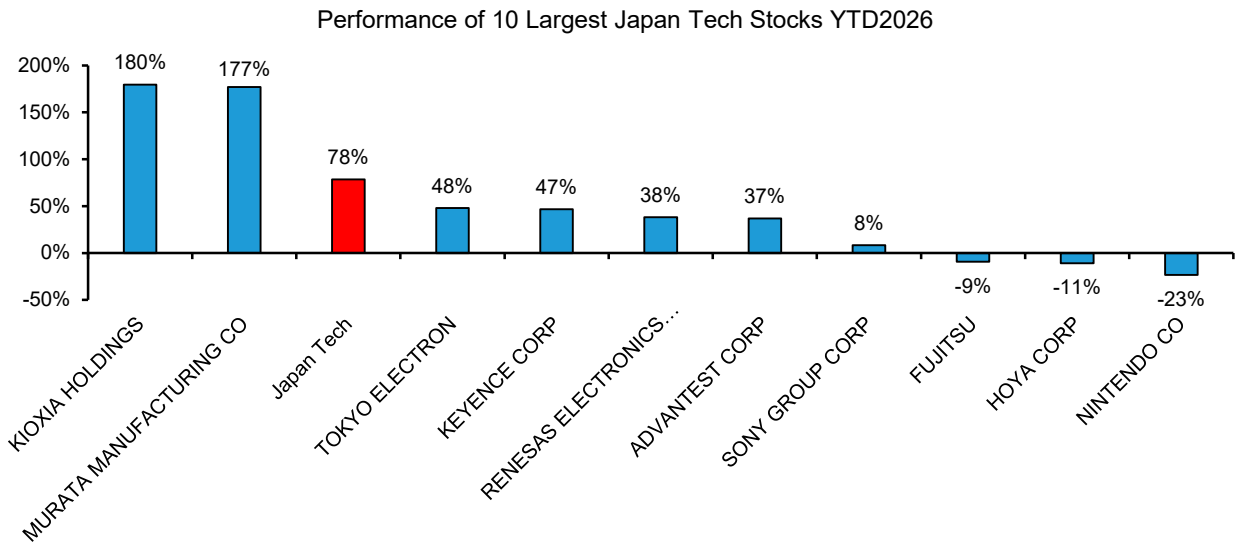
Data til Oct 16th 2026. Returns are in USD
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 3: **In 1H26, Semis, Factory automation and Electronic Equipment performed best while Software/ Services were worst. Into second half, Software (40%), IT services (35%) and Entertainment (27%), the laggard sub-sectors in 1H26, have been outperforming**



Returns are in USD. Performance of all sub sectors are relative to MSCI APxJ Index (Market Cap weighted). Data till Oct 16th 2026
Source: Bloomberg, MSCI, FactSet, Bernstein analysis

EXHIBIT 4: **YTD, among the top 10 largest names, KIOXIA (180%) led followed by Murata (+177%), Tokyo Electron (+48%) and Keyence (+47%). Fujitsu, Hoya, Nintendo have been down -9%, -11% and -23% respectively**



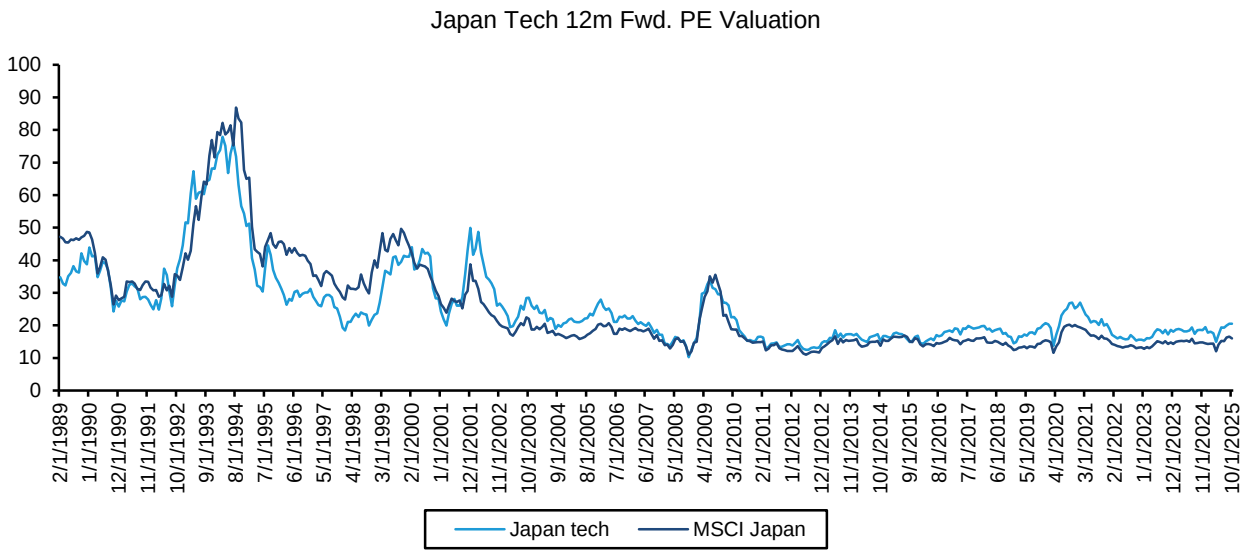
Returns are in USD. Japan Tech performance is market cap weighted. Data till Sep 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

VALUATIONS MIXED BUT RISK OF PEAK UPGRADES HIGH

On PE terms, Japan tech is cheap, trading at 16.5x fwd ie. -0.9SD below its 10yr average and at a below-average premium to the market (12% vs. 24%). However, on P/S, the sector is expensive, trading at 2.7x PS ie. record high levels, with a 100% premium to the market vs. an average premium of 58%. Hence, the divergence between earnings and revenue multiples remains pronounced, with reasonable earnings valuations but stretched revenue valuations. (Exhibit 5 - Exhibit 6).

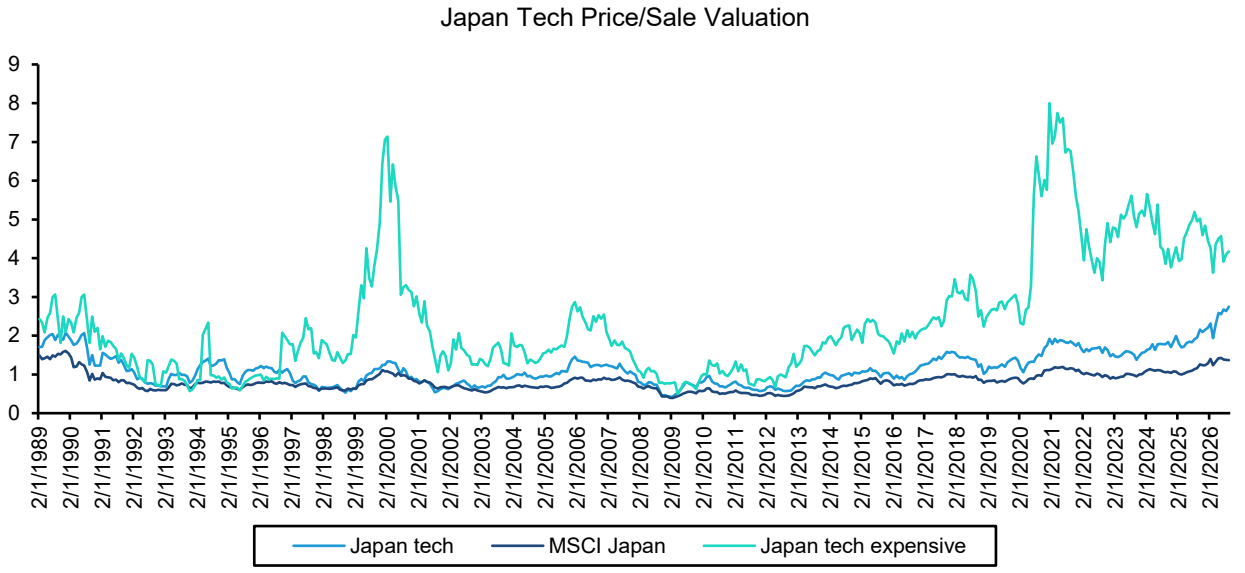
The earnings upgrade cycle has been a key support for the sector, with revisions strengthening sharply both in absolute terms and relative to the market. However, earnings expectations now look extreme, raising concerns about a potential peak in the upgrade cycle. Overall, the sector looks attractively valued on earnings but stretched on revenue multiples. While strong upward revisions remain supportive, elevated expectations leave the sector vulnerable to any moderation in earnings momentum. (Exhibit 7).

EXHIBIT 5: **Japan tech is trading at 16.5x PE ie. -0.9SD below its 10yr average. It is trading below average premium to the market (12% vs. 24%)**



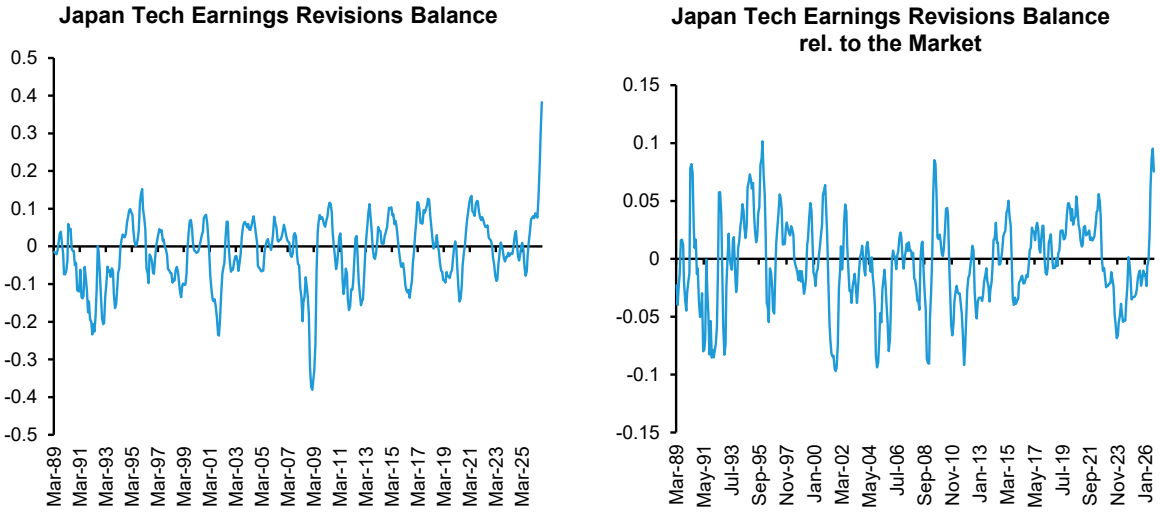
Data till Sep 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 6: **On P/S, the sector is expensive, trading at 2.7x PS ie. at record high levels. Relative to the market, it is trading at 100% premium (vs. 58% avg. premium)**



Data till Sep 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 7: **Strong upgrade cycle has been a key driver for Japan tech. However, the earnings expectations now look extreme and are at risk of peaking. Relative to market, there are already signs of moderation in upgrade cycle**



Data till Sep 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

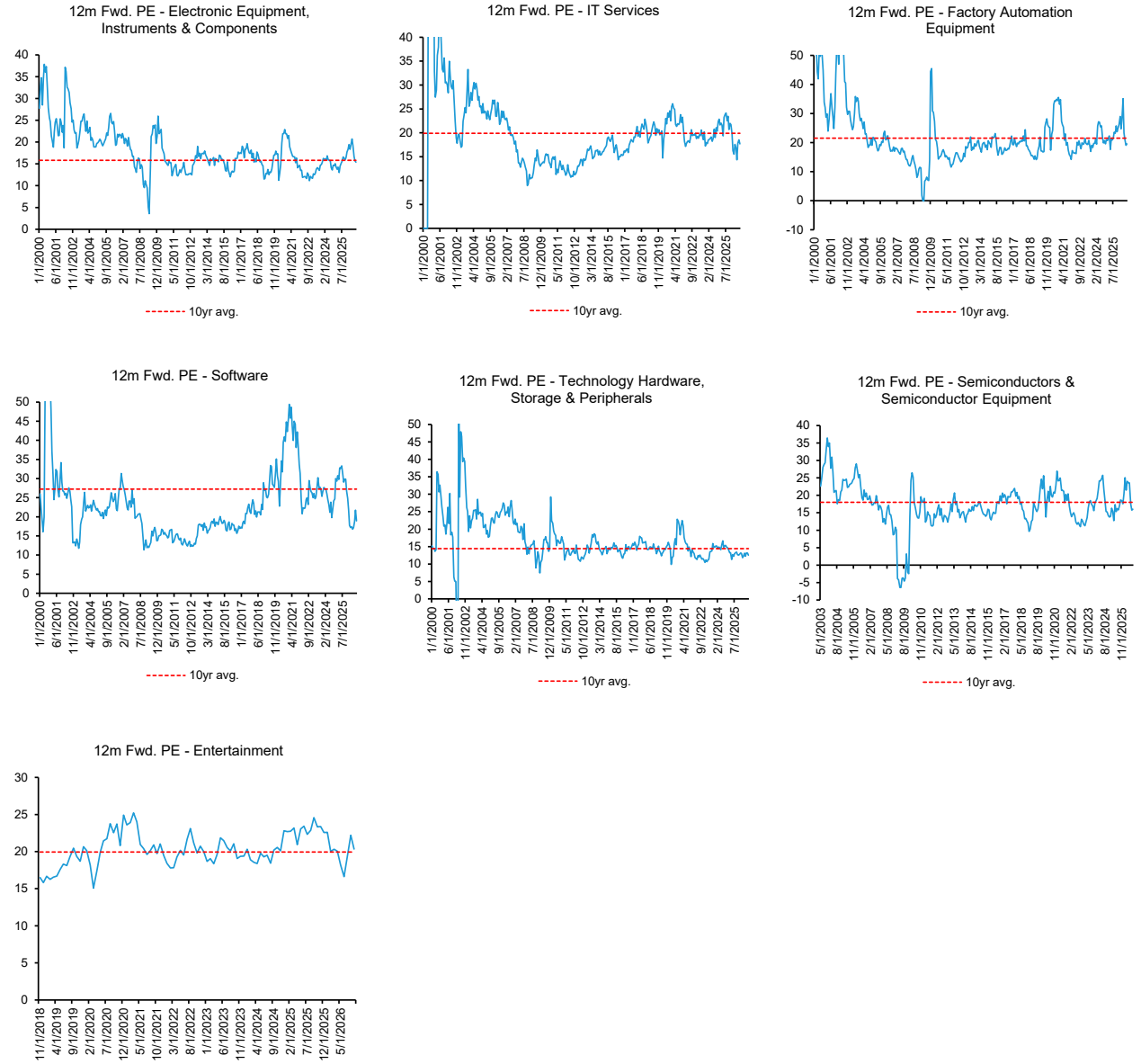
SUB-SECTOR LEVEL ANALYSIS - VALUATIONS, EARNINGS, CROWDING

On 12m fwd. PE, there has been broad-based de-rating across Japan tech. IT Services and Software, which saw significant valuation compression earlier in the year, are now showing valuation recovery. Hence, the valuation picture is no longer simply one of expensive winners and cheap laggards, with earnings multiples having moderated across the sector while some earlier laggards have started to recover. However, more recently, even the recovery in IT Services, Software and Entertainment seems to be slowing down (Exhibit 8). On P/S, the intra-sector valuation dispersion is quite clear with Factory Automation/Semis showing peak valuations, Tech Hardware/Electronic Equipment trading at record high multiples and Entertainment/Software/Services seeing valuation upcycle with Software still being cheap. Hence, while PE valuations remain reasonable now for all sub-sectors, trends look more downward. Revenue multiples, however show clear dispersion with valuation risk confined to early winning sub-sectors such as Semis, Automation, Hardware and Equipment. (Exhibit 9)

The earnings upgrade cycle has also been quite broad-based across all sub-sectors, including the earlier laggards IT Services, Software and Entertainment. However, revisions are at extreme levels across most sub-sectors, except Tech Hardware, raising concerns about peak earnings expectations. Even the 1H laggards such as Entertainment, Software, Services have seen very strong upgrades in the last few months. Given the strong upward revisions seen across the board, we look at relative earnings revisions for each sub-sector vs. the market - on this measure, we see clear trends, Electronic Equipment/Factory Automation and Semis are already showing peak in upgrade cycle relative to the market while earnings recovery for Entertainment remains intact. Software and Tech Hardware are now at record high downgrades relative to the market seen since 2000. We believe a contrarian stance for these sub-sectors in expectations of downgrades bottoming out makes sense. (Exhibit 10). Crowding has cooled from peak levels in Semis and Factory Automation, while investor interest is returning to Electronic Equipment, Entertainment and Software. Hence, the rotation seen in 3Q is also reflected in changing investor positioning with earlier laggards gaining more attentions. (Exhibit 12).

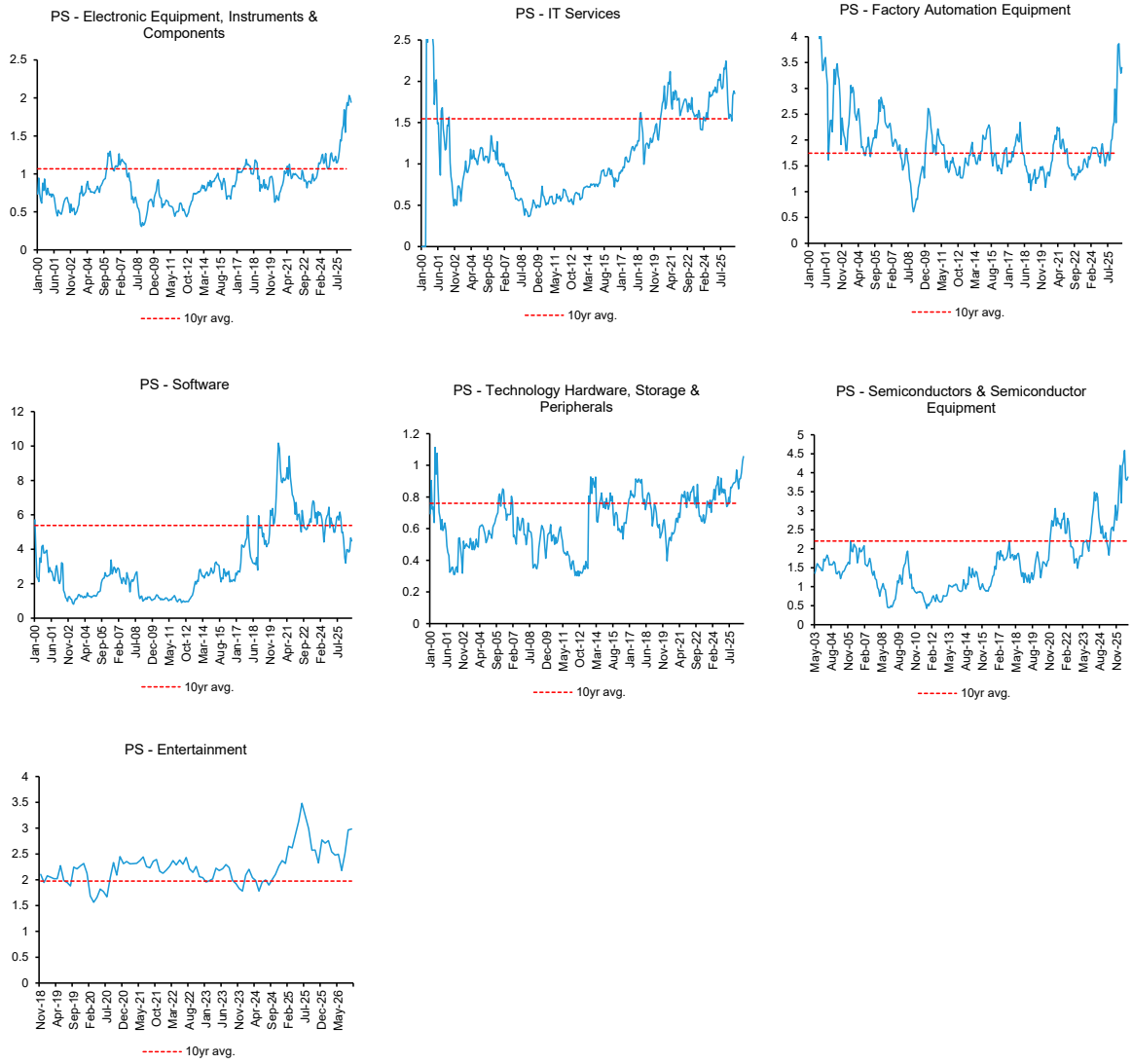
Overall, the case for selective intra-sector rotation remains intact, with recovering valuations and earnings support for 1H laggards. We recommend adding more exposure towards sub-sectors where relative earnings recovery is or likely to play out ie. Entertainment/Software/Hardware while reducing exposure towards 1H winners ie. Electronic Equipment/Semis/Factory Automation which are showing peak in revenue multiple and peak in relative earnings upgrades. IT Services is showing support from valuation upcycle but earnings still remain weak relative to market.

EXHIBIT 8: **On 12m Fwd PE basis, Automation, Equipment/Semis are in valuation downcycle. Software, IT Services and Entertainment was showing upcycle but that also seems to be slowing down**



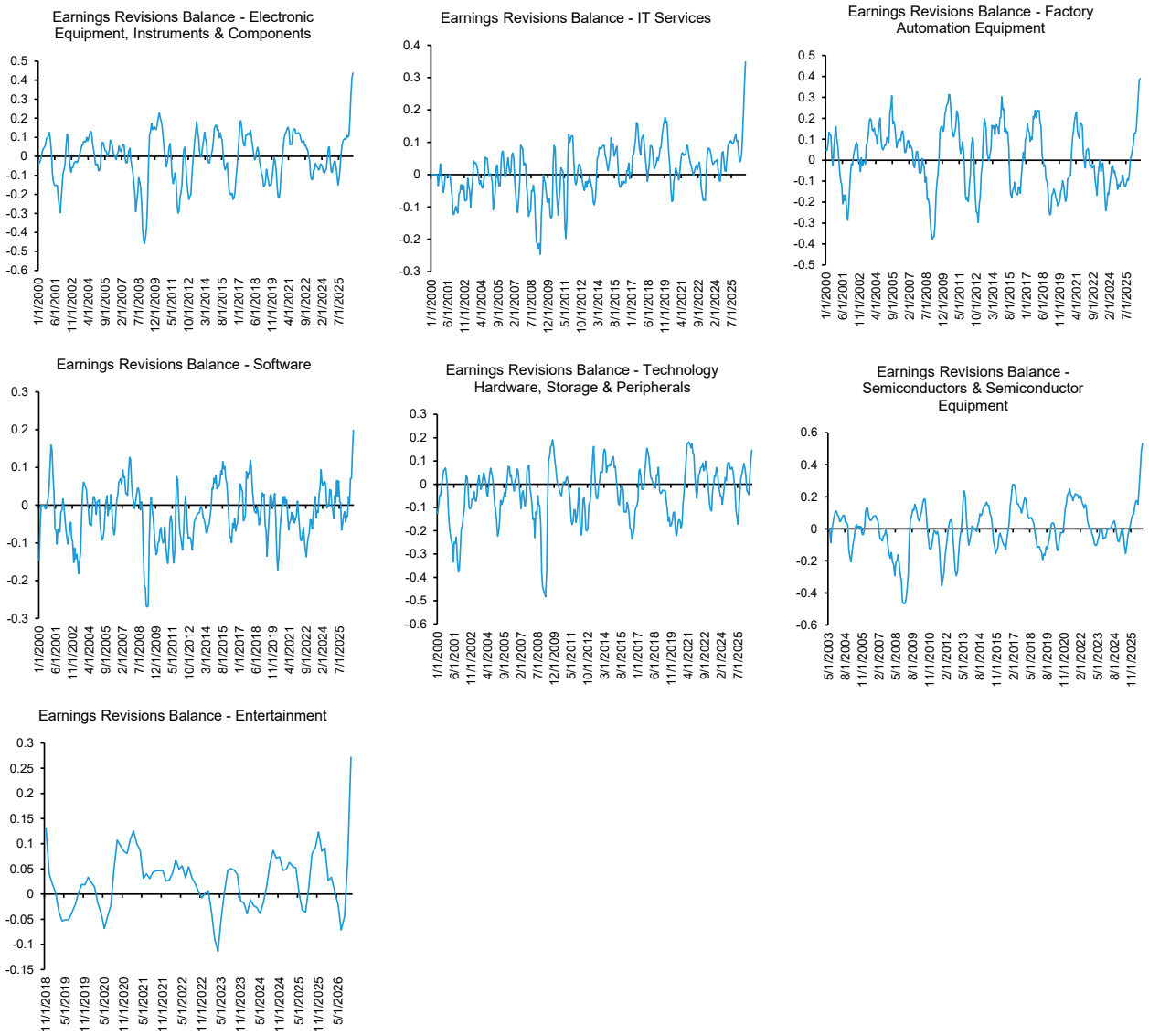
Data till Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 9: **On P/S, Factory Automation/Semis have peaked while Tech Hardware, Electronic Equipment are at record high. Entertainment/Software/Services are seeing upcycle**



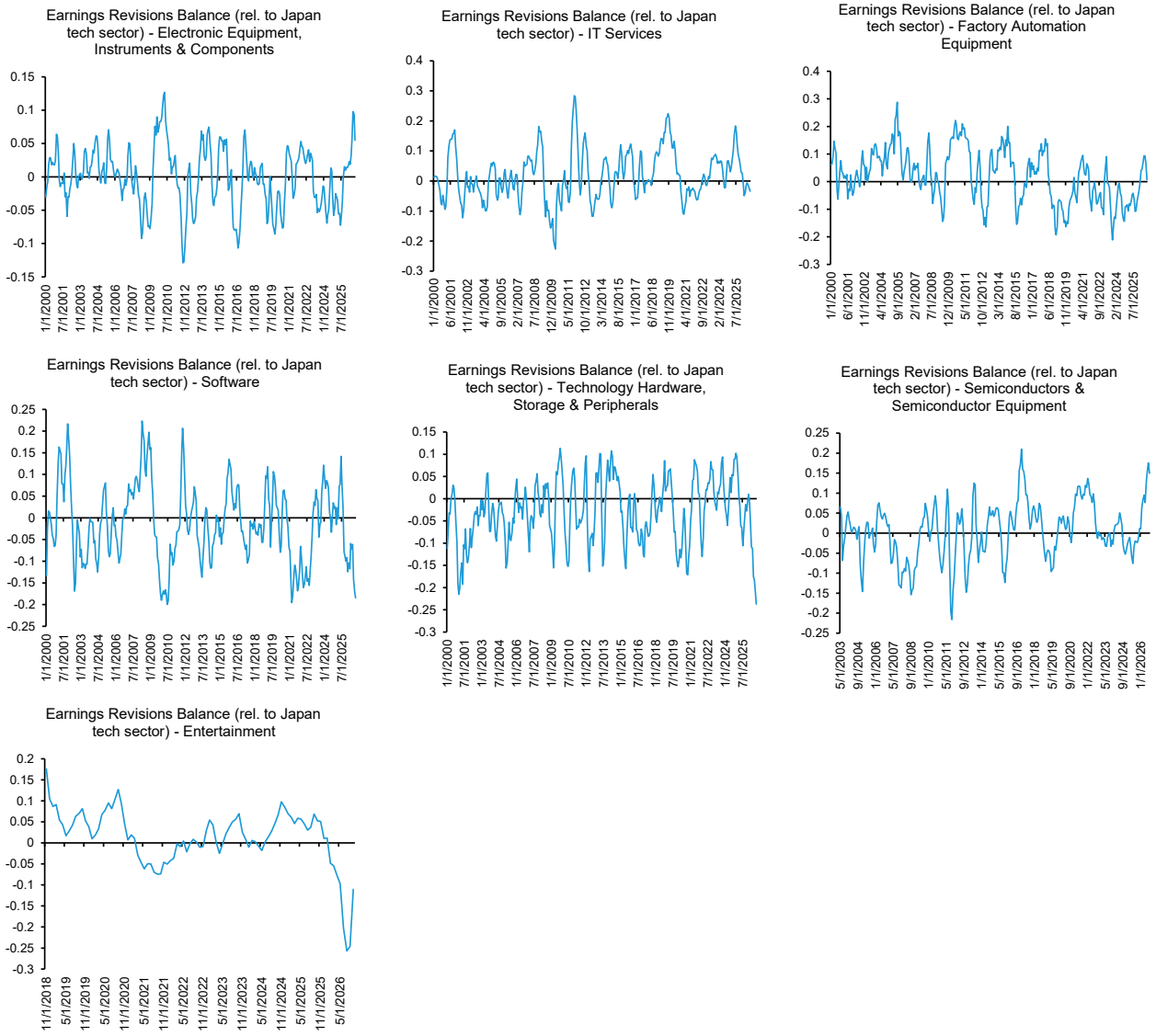
Data till Sep 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 10: **All sub-sectors have been in upgrade cycle and are now at extreme (except Tech Hardware), raising concerns about peak earnings expectations**



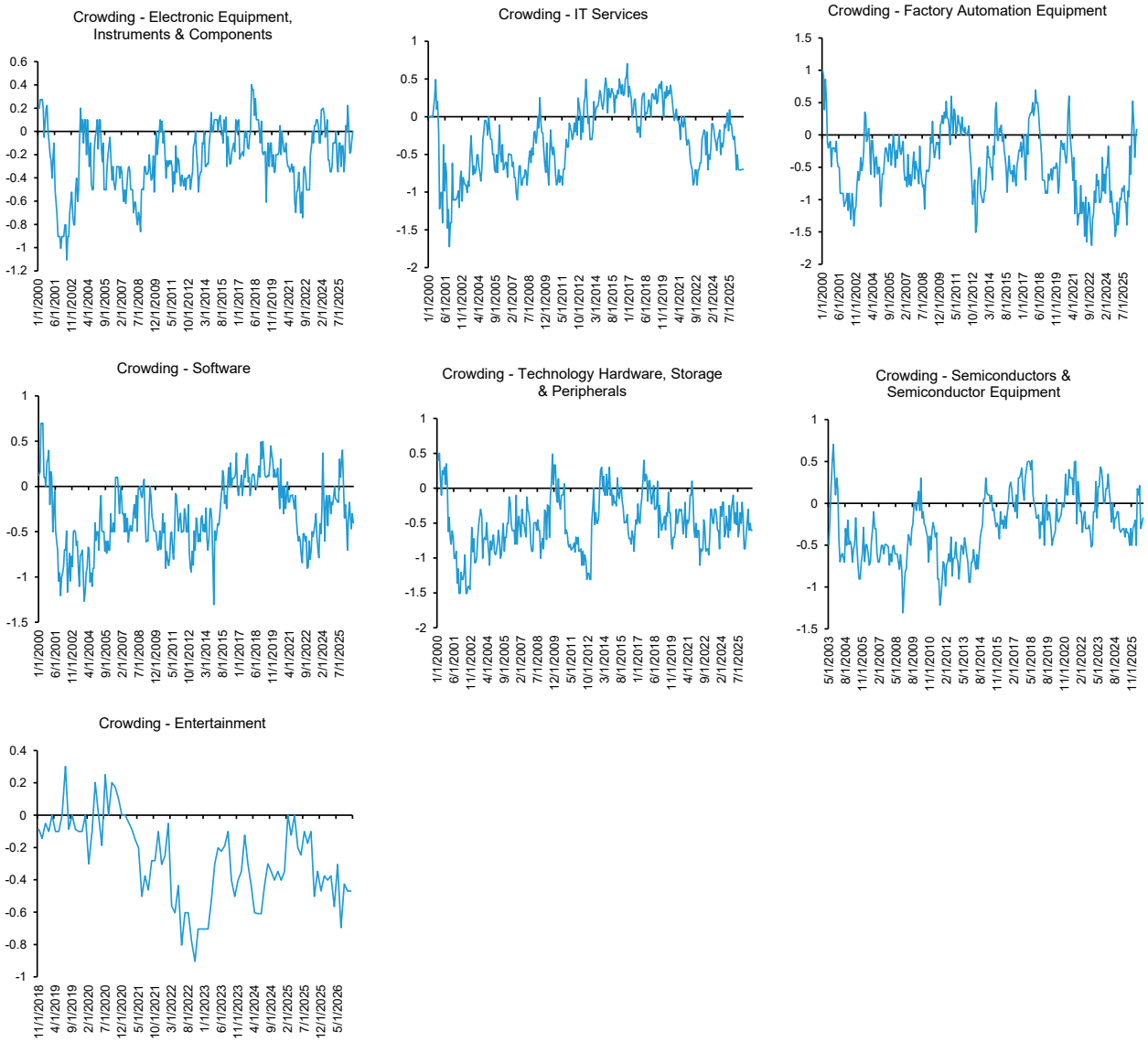
Data till Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 11: **Relative to market, we see clear peak in earnings upgrade for Electronic Equipment/Factory Automation and Semis while clear bottom in Entertainment. The record high downgrade cycle for Software and Hardware make them interesting contrarian sub-sectors for a potential earnings recovery**



Data as of Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 12: **Crowding risk has come down across Semis/Automation/Equipment names while investor interest seems to be coming back for Entertainment/Software/Services**



Data till Sep 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

THE FACTOR VIEW WITHIN TECH

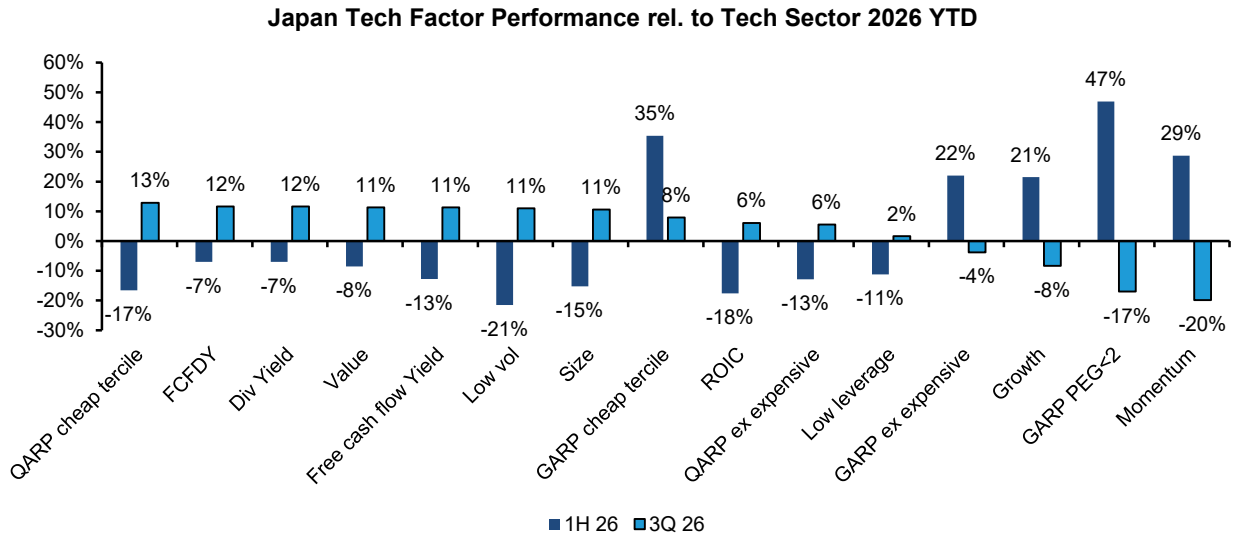
1H26 saw strong leadership from GARP and Momentum within Japan tech, with GARP portfolios generating 22-47% alpha and Momentum outperforming by 29% relative to the tech sector. Meanwhile, Low Volatility and high yielding styles lagged. However, 3Q has seen completely opposite trends - high FCF/dividend yield portfolios outperformed by 12%, while Value, free cash flow yield and Low Volatility generated 11% alpha. QARP cheap tercile led with 13% outperformance, while Momentum (-20%), GARP PEG<2 (-17%) and Growth (-8%) came under pressure. Hence, leadership has broadened away from the earlier growth/momentum winners towards value, yield and defensive styles. The beginning of Q426 so far shows similar trends with value/yield/quality outperforming and momentum/growth underperforming(Exhibit 13).

Combining performance with the valuations/earnings/crowding aspects - Momentum valuations remain reasonable, but earnings expectations are extreme and crowding is slightly elevated. Growth/GARP portfolios have also been in a de-rating cycle and are now trading around average fwd. PE. However, earnings upgrades are extreme across all growth portfolios,

including GARP cheap tercile, even though crowding risk remains limited. Hence, valuations are fine everywhere but risk of elevated earnings expectations is high. (Exhibit 15-Exhibit 16).

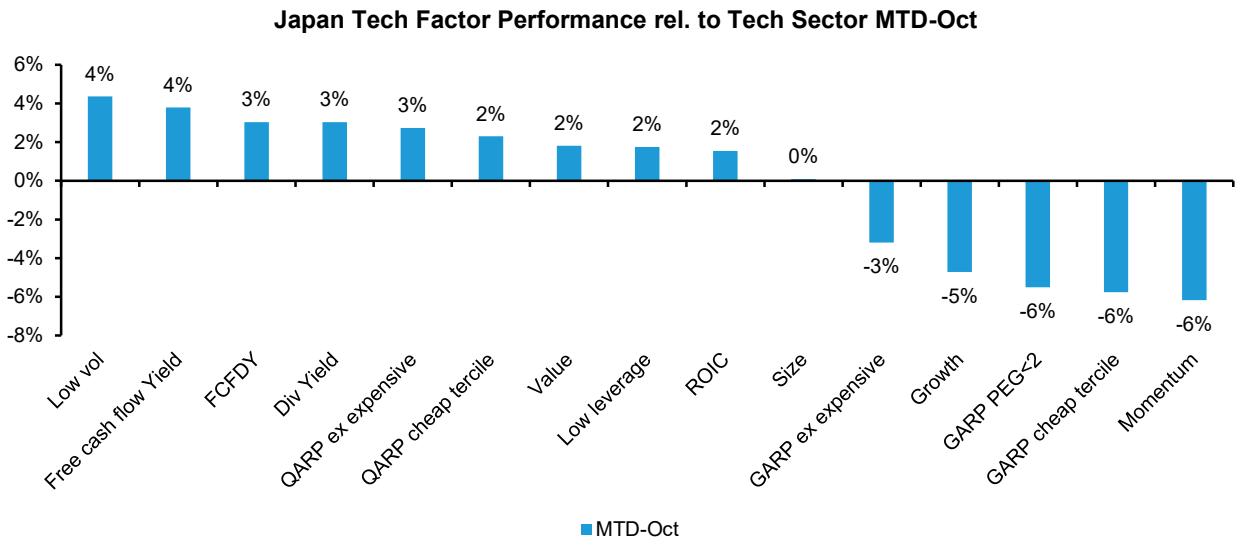
High yielding names remain attractive on valuations and seeing strong earnings support (which is not extreme yet) and without crowding risk. The 3Q recovery is therefore consistent with the valuation and earnings backdrop, and we believe these names can continue to do well. Quality and QARP portfolios have also de-rated and are now trading below the mean, while earnings revisions have continued to trend upward towards historical highs. However, again all quality portfoltios are showing record high upgrades. (Exhibit 17-Exhibit 18) To get better signal, we look at relative earnings revision and that is when things become quite clear - growth, momentum and quality are already showing peak upgrades relative to the market while QARP still shows room for upward revisions to continue. Value/high yield are now seeing the worst downgrades relative to market ever seen in the last 15yrs, and we believe taking a contrarian stance at these levels makes sense. Hence, we recommend tilting focus towards quality tech names which are reasonably priced (QARP) along with value/high yield tech names. We believe the underperformance of growth/momentum names could persist into the year-end led by peak in earnings cycle. We show factor rankings for our Bernstein coverage tech names in Exhibit 20 and preferred screens of selective quality and cheap/high yielding laggards in Exhibit 21-Exhibit 22.

EXHIBIT 13: **3Q 26 has seen completely opposite trends to 1H26 – high yield (12%)/value (11%)/low vol(11%) doing well, momentum (-20%) /growth (-8%) underperforming**



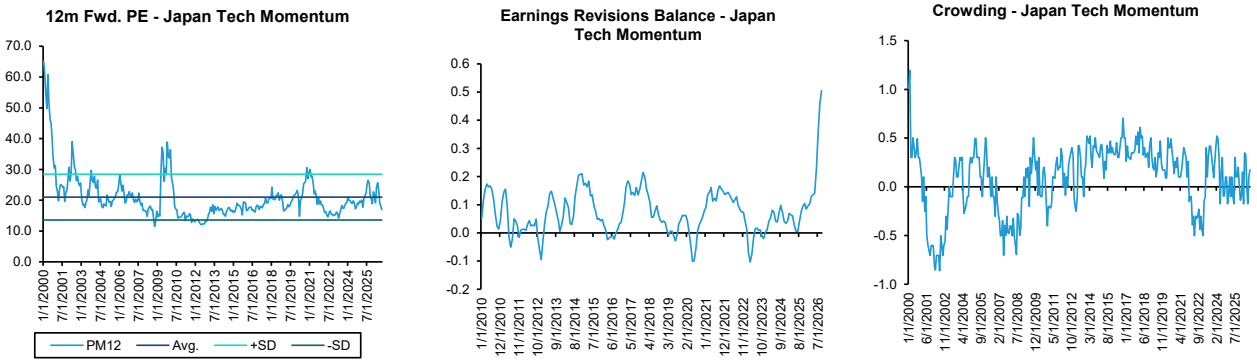
Data till Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 14: **The start of Q426 so far has seen rotation continuing - low vol/ high FCF yield (+4%) has led along with quality/QARP (3%) while momentum/growth underperformance has continued**



Data till Oct 16th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 15: **Japan tech momentum – valuations are fine but earnings expectations remain at extreme with slightly high crowding level**



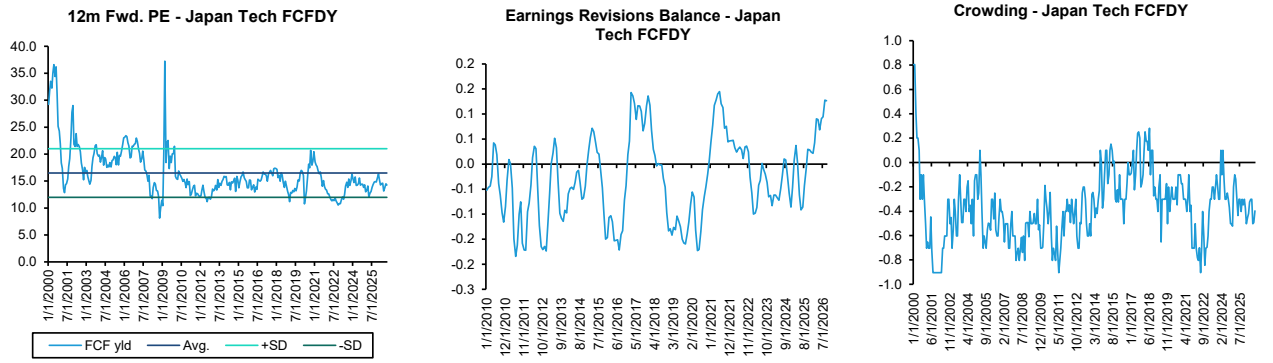
Data till Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 16: **Japan tech growth/GARP has been in a de-rating cycle, trading now at average fwd. PE. All growth portfolios are at extreme earning upgrades but no crowding risk**



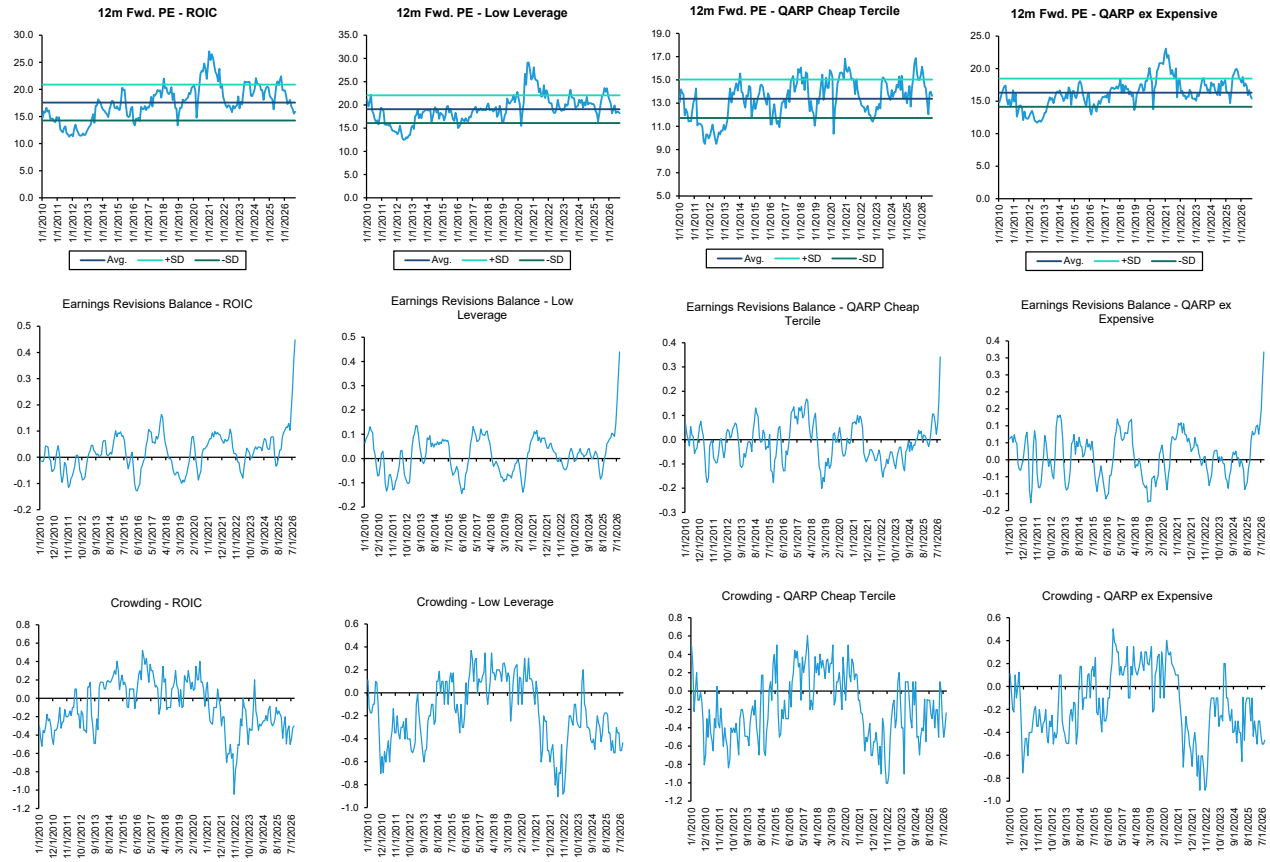
Data till Sep 30th 2026
Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 17: **Japan tech high yielding stocks have historically worked well within Japan tech over the long-term. The portfolio is undervalued, seeing strong earnings supports without crowding risk - we believe these names can continue to do well**



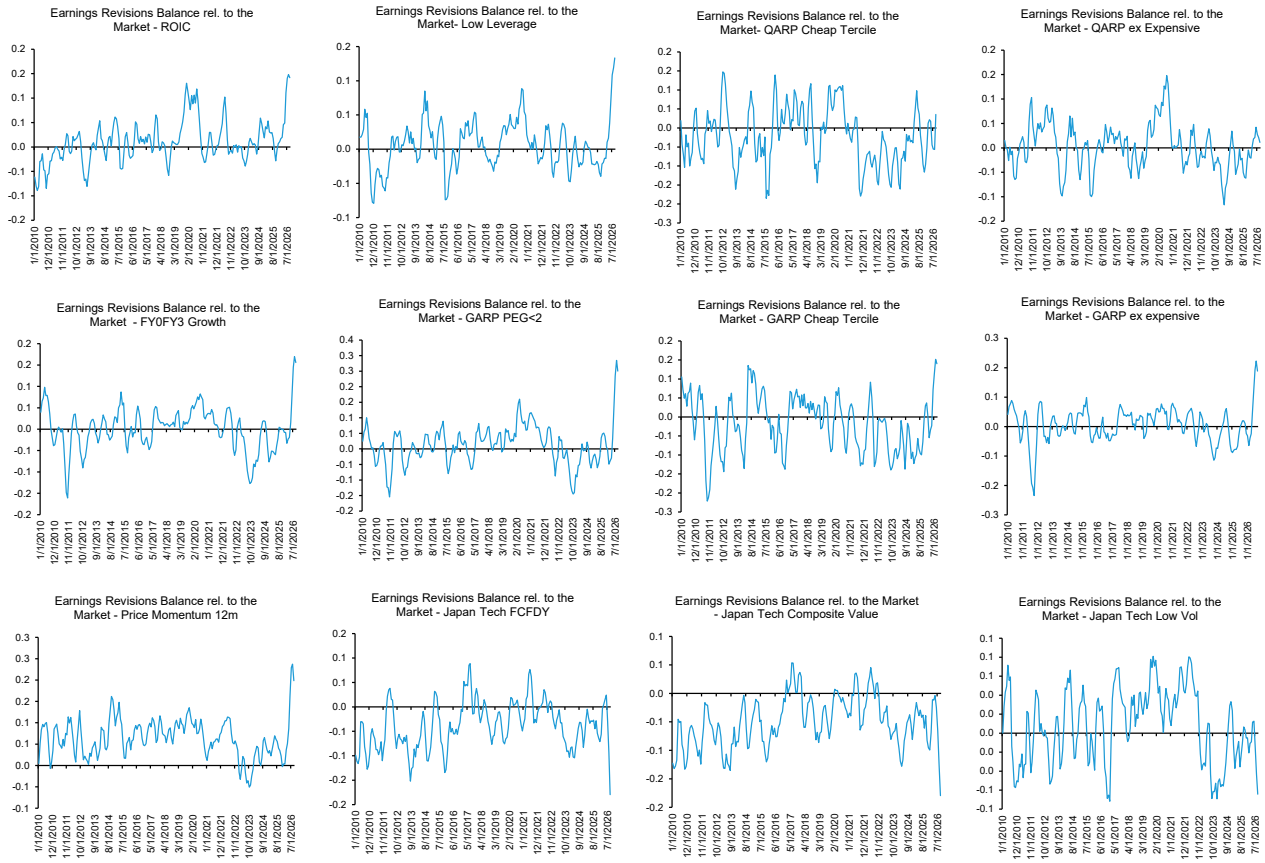
Data till Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 18: **Japan tech quality and QARP portfolios have also been in a de-rating cycle and now trading below the mean. Earnings revisions have continued to trend upward, reaching historical high. However, investor interest in quality tech is improving**



Data till Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 19: **On relative basis, we see growth/GARP/quality/momentum showing peak upgrades while QARP still has more room for upward revisions to continue. The high yield/value trade is a clear contrarian call as earnings expectations falling to record low levels**



Data as of Sep 30th 2026
Source: MSCI, FactSet, Bernstein analysis

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EXHIBIT 20: **Bernstein covered Japan tech names with factor rankings**

GICSINDNAME	SEDOL	CO_NAME	Mcap (USD mn)	12m Fwd. PE	PEF_10yr _zscore	GARP	QARP	Value	FCF yld	Div. yield	Growth	ROIC	Low Vol	Momentum	Global Crowding Deciles (1= Most Crowded, 10=Least Crowded)	EPS 6m momentum	Bernstein rating
Electronic Equipment, Instruments & Components	649099	KEYENCE CORP	124,564	31x	-0.9	0	0	3	2	3	2	2	2	1	3	35%	O
Electronic Equipment, Instruments & Components	645610	IBIDEN CO	39,582	47x	2.3	1	0	3	3	3	1	2	3	1	4	92%	O
Electronic Equipment, Instruments & Components	661040	MURATA MANUFACTURING CO	98,078	26x	1.2	1	0	3	3	3	1	2	3	1	2	60%	O
Entertainment	663955	NINTENDO CO	65,078	20x	-0.5	0	1	1	2	1	3	1	2	3	3	6%	O
Entertainment	649668	KONAMI GROUP CORP	19,543	20x	-0.2	0	0	3	2	3	2	1	2	3	5	34%	O
Entertainment	617369	CAPCOM CO	14,722	25x	0.4	0	0	3	2	3	2	1	2	2	3	18%	O
Entertainment	682150	SONY GROUP CORP	142,703	16x	-0.3	0	0	3	1	3	2	2	1	3	1	19%	M
Entertainment	630926	SQUARE ENIX HOLDINGS CO	6,785	24x	0.6	0	0	3	2	2	2	2	1	3	6	36%	O
Entertainment	B0JDQD	BANDAI NAMCO HOLDINGS	23,475	21x	0.1	0	0	3	2	3	3	1	2	2	3	16%	M
Factory Automation Equipment	635693	FANUC	37,151	25x	-0.7	0	0	2	2	2	2	2	2	2	7	29%	O
Factory Automation Equipment	676396	SMC CORP	29,314	19x	-0.8	0	1	2	3	2	2	2	2	1	10	35%	O
Factory Automation Equipment	610817	HARMONIC DRIVE SYSTEMS	3,935	60x	-0.2	1	0	3	3	3	1	3	3	1	9	314%	O
Semiconductors & Semiconductor Equipment	650626	LASERTEC CORP	24,679	27x	-0.6	1	0	3	3	3	1	1	3	1	3	36%	O
Semiconductors & Semiconductor Equipment	644150	HOYA CORP	50,246	25x	-0.7	0	0	3	2	3	2	1	1	2	5	13%	O
Semiconductors & Semiconductor Equipment	689567	TOKYO ELECTRON	175,957	25x	0.5	1	0	3	3	3	1	1	3	1	2	45%	O
Semiconductors & Semiconductor Equipment	627094	DISCO CORP	39,663	26x	-0.2	1	0	3	3	3	1	1	3	2	3	43%	O
Semiconductors & Semiconductor Equipment	663567	RENESAS ELECTRONICS CORP	41,392	14x	-0.4	1	0	3	1	3	1	2	3	1	2	26%	O
Semiconductors & Semiconductor Equipment	687049	ADVANTEST CORP	159,597	28x	0.0	1	0	3	3	3	1	1	3	1	2	101%	O
Semiconductors & Semiconductor Equipment	BNGHNG	KOKUSAI ELECTRIC	14,514	26x	-1.6	1	0	3	2	3	1	2	3	1	2	97%	O
Semiconductors & Semiconductor Equipment	B0M0C8	SUMCO	7,390	25x	0.1	1	0	3	3	3	1	3	3	1	5	5%	M
Semiconductors & Semiconductor Equipment	625102	SCREEN HOLDINGS CO	17,651	17x	0.7	1	1	3	2	3	1	1	3	1	2	35%	M
Semiconductors & Semiconductor Equipment	BMGYJ0	KIOXIA HOLDINGS	189,321	4x	-3.6	1	0	1	2	3	1	1	3	1	1	1060%	U

Data as of Sep 30th 2026. For factor ranking, 1- highest, 3- lowest; For low vol, 1-lowest, 3-highest. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action

Source: IBES, MSCI, FactSet, Bernstein analysis

EXHIBIT 21: **Focus on quality tech names which are reasonably priced (QARP)**

GICSINDNAME	SEDOL	CO_NAME	Mcap (USD mn)	12m Fwd. PE	PS	PE_10yr_ zscore	PS_10yr_ zscore	EPS 3m chg	EPS 6m momentum	EPS 12m momentum	Bernstein rating
Entertainment	663955	NINTENDO CO	65,078	20x	4.1x	-0.5	-0.6	10%	6%	5%	O
Machinery	676396	SMC CORP	29,314	19x	5.0x	-0.8	-0.5	20%	35%	29%	O
Semiconductors & Semiconductor Equipment	625102	SCREEN HOLDINGS CO	17,651	17x	4.6x	0.7	3.3	5%	35%	-40%	M
Electronic Equipment, Instruments & Components	604410	ANRITSU CORP	2,955	22x	3.5x	-0.3	1.6	11%	47%	46%	
Electronic Equipment, Instruments & Components	617245	CANON MARKETING JAPAN	5,217	15x	1.1x	0.8	2.0	5%	10%	-46%	
Electronic Equipment, Instruments & Components	625029	ENPLAS CORP	625	11x	2.0x	-0.9	0.3	17%	0%	0%	
Electronic Equipment, Instruments & Components	642844	HIOKI E E CORP	946	15x	3.1x	-1.0	0.7	24%	44%	51%	
Electronic Equipment, Instruments & Components	642872	HIROSE ELECTRIC CO	5,448	17x	3.6x	-1.3	-0.4	9%	25%	17%	
Electronic Equipment, Instruments & Components	643006	HOCHIKI CORP	960	13x	1.3x	0.3	0.8	3%	0%	0%	
Electronic Equipment, Instruments & Components	664368	NOHMI BOSAI	1,521	15x	1.6x	0.1	1.5	5%	21%	11%	
Electronic Equipment, Instruments & Components	673984	RIKEN KEIKI CO	1,060	14x	2.8x	0.0	0.4	3%	21%	7%	
Electronic Equipment, Instruments & Components	680436	SHIMADZU CORP	7,642	18x	2.0x	-1.2	-0.7	7%	11%	8%	
Entertainment	BNDTKL	COVER	638	12x	2.0x	-2.3	-2.2	7%	16%	-8%	
IT Services	625569	DTS CORP	1,177	14x	1.3x	-1.0	0.3	3%	6%	1%	
IT Services	626705	OTSUKA CORP	8,820	18x	1.0x	-1.4	-0.5	7%	8%	3%	
Machinery	635659	FUJI CORPORATION	4,749	13x	3.4x	-0.1	3.0	38%	79%	145%	
Semiconductors & Semiconductor Equipment	B4KGDQ	JAPAN MATERIAL	1,540	16x	3.9x	-1.2	-0.3	7%	18%	15%	
Semiconductors & Semiconductor Equipment	612392	MEGACHIPS CORP	1,362	6x	4.0x	-0.8	2.7	17%	241%	768%	
Semiconductors & Semiconductor Equipment	BMTVX7	SOCIONEXT	2,402	17x	1.8x	-0.7	-2.3	2%	60%	-1%	
Software	627792	CYBOZU	996	14x	3.3x	-0.5	-0.9	3%	5%	25%	
Software	614168	ORACLE CORP JAPAN	7,846	16x	4.3x	-2.0	-1.5	8%	11%	0%	
Software	BMYGJG	PLUS ALPHA CONSULTING	552	12x	4.7x	-1.6	-1.6	2%	4%	20%	
Software	BD87BM	RAKUS	2,260	19x	5.9x	-0.9	-1.2	12%	119%	107%	
Software	612528	TREND MICRO	5,858	22x	2.9x	-1.5	-1.9	-7%	-8%	-8%	
Technology Hardware, Storage & Peripherals	614650	BROTHER INDUSTRIES	7,317	14x	1.2x	1.4	2.9	24%	38%	50%	
Technology Hardware, Storage & Peripherals	645181	EIZO CORP	815	19x	1.4x	1.7	1.9	1%	112%	21%	
Technology Hardware, Storage & Peripherals	638852	ELECOM CO	1,159	12x	1.2x	-1.1	-0.5	8%	-27%	5%	

Data as of Sep 30th 2026. We select high momentum stocks if either 3m EPS mom > 6m EPS mom or 6m EPS mom > 12m EPS mom. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 22: **Japan tech laggard - Add cheap/high yield names**

GICSINDNAME	SEDOL	CO_NAME	Mcap (USD mn)	12m Fwd. PE	PS	PE_10yr_ zscore	PS_10yr_ zscore	EPS 3m chg	EPS 6m momentum	EPS 12m momentum	Bernstein rating
Entertainment	663955	NINTENDO CO	65,078	20x	4.1x	-0.5	-0.6	10%	6%	5%	O
Electronic Equipment, Instruments & Components	643981	HOSIDEN CORP	900	10x	0.3x	-0.1	-0.7	-3%	-5%	26%	
Electronic Equipment, Instruments & Components	643006	HOCHIKI CORP	960	13x	1.3x	0.3	0.8	3%	0%	0%	
Electronic Equipment, Instruments & Components	625142	DAIWABO HOLDINGS CO	2,095	12x	0.2x	1.4	0.8	9%	-11%	-1%	
Electronic Equipment, Instruments & Components	698554	AZBIL CORP	4,980	18x	2.5x	-0.9	1.0	2%	12%	8%	
Electronic Equipment, Instruments & Components	664368	NOHMI BOSAI	1,521	15x	1.6x	0.1	1.5	5%	21%	11%	
Electronic Equipment, Instruments & Components	635761	FURUNO ELECTRIC CO	1,549	15x	1.6x	-0.8	1.9	14%	0%	48%	
Electronic Equipment, Instruments & Components	617245	CANON MARKETING JAPAN	5,217	15x	1.1x	0.8	2.0	5%	10%	-46%	
Electronic Equipment, Instruments & Components	648075	KAGA ELECTRONICS CO	1,850	10x	0.4x	1.1	2.0	19%	-12%	-10%	
Entertainment	625313	DAIICHIKOSHO CO	1,194	13x	1.1x	-0.3	-1.4	6%	-5%	-15%	
Entertainment	B63QM7	NEXON CO	13,296	21x	4.0x	0.4	-1.2	2%	-12%	8%	
Entertainment	B60DR0	KOEI TECMO HOLDINGS CO	3,516	14x	6.0x	-1.2	-0.9	8%	2%	9%	
Entertainment	B05L36	DENA CO	1,954	14x	1.6x	-0.6	-0.5	105%	45%	29%	
Entertainment	B1BSCX	MIXI	1,603	14x	1.3x	-0.1	-0.5	26%	55%	36%	
IT Services	663960	NIPPON SYSTEM DEV	1,613	15x	1.9x	-1.9	-0.7	4%	9%	2%	
IT Services	626705	OTSUKA CORP	8,820	18x	1.0x	-1.4	-0.5	7%	8%	3%	
IT Services	664268	BIPROGY	2,923	13x	1.0x	-1.8	0.1	2%	11%	2%	
IT Services	625569	DTS CORP	1,177	14x	1.3x	-1.0	0.3	3%	6%	1%	
IT Services	654468	NS SOLUTIONS CORP	4,407	20x	1.8x	0.4	1.0	4%	9%	3%	
Semiconductors & Semiconductor Equipment	BMTVX7	SOCIONEXT	2,402	17x	1.8x	-0.7	-2.3	2%	60%	-1%	
Software	612528	TREND MICRO	5,858	22x	2.9x	-1.5	-1.9	-7%	-8%	-8%	
Software	653788	SYSTENA CORP	1,144	13x	1.6x	-1.3	-0.8	2%	-2%	3%	
Software	BHHDV3	WINGARC1ST	734	13x	3.6x	-2.4	0.4	4%	20%	8%	
Technology Hardware, Storage & Peripherals	638852	ELECOM CO	1,159	12x	1.2x	-1.1	-0.5	8%	-27%	5%	
Technology Hardware, Storage & Peripherals	617232	CANON INC	39,087	11x	0.8x	-1.2	-0.4	7%	-1%	2%	
Technology Hardware, Storage & Peripherals	673822	RICOH CO	5,986	14x	0.4x	-0.4	-0.2	10%	13%	9%	
Technology Hardware, Storage & Peripherals	649670	KONICA MINOLTA	2,149	12x	0.3x	-0.2	-0.1	8%	8%	27%	
Technology Hardware, Storage & Peripherals	635652	FUJI FILM HOLDINGS CO	26,295	13x	1.2x	-1.0	0.4	3%	8%	0%	
Technology Hardware, Storage & Peripherals	661650	SEIKO EPSON CORPORATION	7,784	16x	0.7x	0.2	0.9	21%	58%	40%	

Data as of Sep 30th 2026. We select high momentum stocks if either 3m EPS mom > 6m EPS mom or 6m EPS mom > 12m EPS mom. Analyst Ratings: O= Outperform, M=Market-Perform (Bernstein Brand)/N=Neutral (Autonomous Brand), U = Underperform rating. Further details of the research and important disclosures of the above covered securities are available on the Bernstein Research website: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action
Source: MSCI, FactSet, Bernstein analysis

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RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
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- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

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